

VENUS REMEDIES LTD

NSE: VENUSREM | BSE: 526953 | Pharmaceuticals — Specialty Injectables, Critical Care & Antimicrobial Resistance (AMR)

RATING	12-MO TARGET	CMP (10-Jun-2026)	UPSIDE
ACCUMULATE	Rs. 1,800	Rs. 1,634	+10.2%

Market Cap	Rs. 2,195 Cr	Stock P/E (TTM)	21.4x
52-Week High / Low	Rs. 1,737 / 416	Price / Book	3.29x
Book Value / Share	Rs. 497	ROCE / ROE (FY26)	21.7% / 16.8%
Face Value	Rs. 10.0	Dividend Yield	0.00% (Rs. 10/sh proposed)
FY26 Revenue / PAT	Rs. 770 Cr / Rs. 103 Cr	Net Debt	Net cash (Borrowings Rs. 12 Cr)
Promoter Holding	41.76% (Mar-26)	FII + DII	2.80% + 1.20% (rising)
Investment Horizon	12–18 months	Suggested Entry Zone	Rs. 1,450 – 1,620

Investment thesis (one line): Debt-free AMR-focused injectables turnaround; FY26 margin breakout to 19% OPM and 22% ROCE funds a patented-pipeline re-rating.

Report date: 10 June 2026 | Analyst: MPM Institutional Research — Senior Pharma & Healthcare Analyst | Data source: Screener.in consolidated financials (fetched 10-Jun-2026); company filings; public news for qualitative context.

SECTION 2 — INVESTMENT THESIS

- **Reason 1 — A genuine profit breakout, not an other-income illusion:** FY26 consolidated PAT rose to Rs. 103 Cr from Rs. 45 Cr (+129%), with OPM doubling from 10% to 19% and Q4 FY26 exiting at 24% OPM. Unlike FY25 (other income was Rs. 31 Cr of Rs. 72 Cr PBT), FY26 PBT of Rs. 134 Cr is operationally driven (other income only Rs. 13 Cr) — the cleanest P&L; this company has printed in a decade.
- **Reason 2 — A regulatory-approval flywheel in 70+ export markets:** 1,040+ global marketing authorizations, 135+ patents and a 180+ product basket across anti-infectives, AMR, oncology, neurology and pain management. FY26 added approvals in Indonesia (first generic antibiotic), Vietnam (29 active approvals), UAE, Costa Rica, Philippines and Gabon — each authorization is an annuity-like export revenue stream that typically monetizes over the following 12–24 months.
- **Reason 3 — Balance-sheet inflection complete:** borrowings down from Rs. 321 Cr (FY15) to Rs. 12 Cr (FY26) against Rs. 238 Cr of investments — a net-cash company. FY26 FCF was Rs. 118 Cr (CFO/EBITDA 129%), ROCE jumped to 22% from 9% in FY24, and the board has proposed its first dividend in over a decade (Rs. 10/share, 13% payout) — a strong signal that the stressed-era (FY17–FY20 losses) phase is closed.
- **Near-term catalyst (6–12 months):** Q1/Q2 FY27 margin prints validating the 19–24% OPM band, continued PLI incentive flows (75% of eligible FY24-25 incentive already secured), and news flow on the AMR pipeline (lead asset VRP-034) under the company's 'Mission 2026' R&D; programme.
- **Biggest structural risk:** generic injectable antibiotics are a commoditizing category — if the FY26 margin reset proves mix/tender-led rather than structural, OPM mean-reverts toward the 10–11% pre-FY26 band and the stock de-rates sharply after a 257% one-year run.

SECTION 3 — BUSINESS OVERVIEW

- **What it does:** Incorporated in 1989, Venus Remedies is a research-driven pharmaceutical company and injectable manufacturer — one of India's largest producers of meropenem antibiotics and an

emerging player in antimicrobial-resistance (AMR) drugs.

- **Portfolio:** 180+ products across anti-infectives (antibiotics), AMR, oncology, neurology, pain management, and skin & wound care; formulations span injectables (core), tablets and topical preparations.
- **Geographic reach:** 1,040+ marketing authorizations globally with exports across ASEAN, Middle East, Africa and Latin America; Vietnam alone has 29 active product approvals. Granular revenue split by geography/segment is not disclosed on Screener — data not available.
- **Customers and revenue nature:** a mix of branded-generic hospital/critical-care sales, export distributors, and institutional tenders — early institutional wins with bodies such as UNICEF and PAHO. Tender/institutional business adds lumpiness: June quarters are seasonally the weakest (Rs. 95 / 109 / 137 Cr over FY24–FY26) and March quarters the strongest (Rs. 195 / 195 / 259 Cr).
- **R&D; engine:** 135+ patents; DSIR-recognized research centre (recognition renewed June 2026); 'Mission 2026' targets novel AMR therapies, led by VRP-034 (novel polymyxin formulation) and an in-licensed asset; deliberate mix shift toward higher-margin oncology.
- **Recent strategic developments (last 12 months):** FY26 results (26 May 2026) with record PAT of Rs. 103 Cr; first dividend in a decade (Rs. 10/share, record date 7-Aug-2026, AGM 20-Aug-2026); fresh marketing authorizations across Indonesia, Vietnam, UAE, Costa Rica, Philippines and Gabon; secured 75% of eligible FY24-25 PLI incentive.
- **Promoters:** founder Pawan Chaudhary (Chairman & MD) with Dr. Manu Chaudhary (Joint MD, heads research) and Saransh Chaudhary (President — Global Critical Care; CEO, Venus Medicine Research Centre); promoter stake steady at 41.76% since FY23 (up from 35.89% in FY21).

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **AMR market:** the global antimicrobial-resistance drugs market was ~\$4.6 Bn (2022) and is projected to reach ~\$9.5 Bn by 2032 (7.6% CAGR — Allied Market Research); WHO lists AMR among the top global health threats, supporting policy and procurement tailwinds.
- **Core category:** the meropenem-for-injection market is ~\$1.5 Bn (2023), forecast to ~\$2.6 Bn by 2032 (6.2% CAGR — Dataintelo), with Asia-Pacific the fastest-growing region (~7.5% CAGR) on hospital infrastructure build-out and schemes like Ayushman Bharat.
- **Policy tailwinds:** India PLI incentives (Venus secured 75% of its eligible FY24-25 claim), government AMR action plans, and import substitution in critical-care injectables. **Headwinds:** tender-driven price erosion in generic antibiotics and rising regulatory bar for sterile injectables.
- **Moat — IP: Strong** (135+ patents, novel AMR formulations); **Distribution: Moderate** (1,040+ authorizations across 70+ markets, hard to replicate quickly); **Pricing power: Moderate** (weak in plain generics, stronger in patented/differentiated critical-care SKUs); **Switching costs: Weak** (hospital tenders are price-driven); **Scale: Moderate** (niche injectables capacity, not a mass generics player).
- **Value-chain position:** midstream branded-generic formulation manufacturer (sterile injectables) moving up toward IP-led specialty (novel AMR assets) — capturing more margin than commodity API or plain generic players.

Top competitors (Screener consolidated, fetched 10-Jun-2026):

Company	CMP (Rs.)	MCap (Rs. Cr)	TTM Revenue (Rs. Cr)	ROCE %
Gufic BioSciences	364	3,655	944	12.3%
Lincoln Pharmaceuticals	633	1,268	671	16.3%
Kilitch Drugs (India)	183	641	235	14.4%
Venus Remedies	1,634	2,195	770	21.7%

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Leadership:** founder-promoter Pawan Chaudhary (Chairman & Managing Director, 35+ years in pharma) runs strategy; Dr. Manu Chaudhary (Joint MD) is a scientist who leads the research organisation; second-generation Saransh Chaudhary heads Global Critical Care and the Venus Medicine Research Centre — succession is visible but the business remains family-run.
- **Governance watch-point:** Bloomberg lists the CMD as also holding the CFO designation — a concentration of executive and finance authority that institutional investors should monitor; the company also went through a debt-stress/restructuring phase in FY17–FY20 (three consecutive loss years).
- **Capital allocation — deleveraging first:** essentially all FCF from FY15–FY22 went to debt reduction (borrowings Rs. 321 Cr to Rs. 43 Cr); since FY23, cash has gone into R&D; brownfield capacity (CWIP up to Rs. 51 Cr) and Rs. 238 Cr of investments on the balance sheet.
- **Dividend policy:** zero payout from FY15 through FY25; first dividend proposed with FY26 results — Rs. 10/share (13% payout), subject to AGM approval on 20-Aug-2026 (record date 7-Aug-2026). A payout policy framework has not yet been articulated.
- **Promoter pledging:** pledge data not displayed on Screener — N/A; promoter holding has been stable at 41.76% for 12 straight quarters, and promoters added stake through the stress exit (35.89% FY21 to 41.76% FY23), a constructive signal.
- **ESOPs / buybacks:** no buyback history visible in Screener documents; ESOP grant data not available.

SECTION 6 — FINANCIAL DEEP-DIVE (CONSOLIDATED)

Income statement — Rs. Cr (FY24–FY26 actuals per Screener; FY27E/FY28E are MPM estimates):

Income Statement	FY24	FY25	FY26	FY27E	FY28E
Sales	596	640	770	885	1,020
Operating Profit (EBITDA)	60	64	147	173	204
OPM %	10%	10%	19%	19.5%	20.0%
Other Income	12	31	13	14	15
Interest	0	0	0	0	0
Depreciation	26	23	26	29	32
Profit Before Tax	45	72	134	158	187
Tax %	36%	37%	23%	25%	25%
Net Profit (PAT)	28	45	103	118	140
EPS (Rs.)	21.31	33.90	76.90	88 (E)	105 (E)

Balance sheet — Rs. Cr (actuals):

Balance Sheet	FY24	FY25	FY26
Equity Capital	13	13	13
Reserves	474	548	650
Borrowings	41	2	12
Other Liabilities	98	153	178
Total Liabilities	627	716	854
Fixed Assets	219	229	232
CWIP	21	26	51
Investments	19	84	238
Other Assets	368	376	333

Cash flow & ratios (actuals):

Cash Flow / Ratios	FY24	FY25	FY26
Cash from Operations	37	86	156
Cash from Investing	-8	-77	-182
Cash from Financing	-1	-1	-3
Free Cash Flow	24	69	118
CFO / Operating Profit	89%	160%	129%
Debtor Days	49	64	49
Inventory Days	125	97	122
Days Payable	55	89	107
Cash Conversion Cycle	120	72	64
ROCE %	9%	11%	22%

- **Revenue drivers:** FY26 sales +20% YoY (Rs. 770 Cr) versus a sleepy 7% 5-year CAGR — acceleration is export-approval-led plus oncology mix; we model +15%/yr to FY28E (Rs. 1,020 Cr), between the 3-year 12% CAGR and FY26's 20%.

- **Margins:** the single biggest change in the model — OPM held at 10–11% for five years, then jumped to 19% in FY26 with quarterly progression 11% → 16% → 21% → 24% through the year; mix (oncology/patented AMR), PLI and operating leverage are the drivers. We hold 19.5–20% — full Q4-exit-rate extrapolation (24%) would be reckless given March-quarter seasonality.

- **Working capital:** structurally better — cash conversion cycle down from 240+ days (FY18) to 64 days (FY26); debtor days back to 49 after the FY25 spike to 64, though days payable at 107 is doing some of the lifting.
- **Leverage:** borrowings Rs. 12 Cr against Rs. 238 Cr investments — net cash of roughly Rs. 226 Cr; interest line is zero from FY22 onward.
- **FCF quality:** OCF of Rs. 156 Cr against PAT of Rs. 103 Cr (151% conversion) and FCF of Rs. 118 Cr; FY26 investing outflow of Rs. 182 Cr largely reflects the build-up of the investment book, not plant capex.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Checklist Item	Rating	Comment
Revenue recognition vs cash	GREEN	CFO/EBITDA 129% in FY26; OCF Rs. 156 Cr exceeds PAT Rs. 103 Cr — revenue is cash-backed.
Receivables vs revenue growth	GREEN	Debtor days fell 64 to 49 while sales grew 20% — no channel stuffing signature.
Cash conversion cycle trend	GREEN	CCC improved 120 to 72 to 64 days over FY24-FY26; best in over a decade.
Contingent liabilities	AMBER	Not disclosed on Screener — verify in FY26 annual report before sizing positions.
Auditor tenure / opinions	AMBER	Data not available on Screener; company has a FY17-FY20 stress history — check AR.
Related-party transactions	AMBER	Not disclosed on Screener — family-run promoter group warrants AR-level review.
Other income % of PBT	GREEN	Normalized to 10% in FY26 from a flattering 43% in FY25 — earnings are cleaner now.
Tax rate consistency	AMBER	FY26 at 23% is near-statutory, but the 10-year history is erratic (-95% to 52%) on DTA/MAT credits.

- **The headline signal is positive:** FY26 profit growth is cash-backed (OCF > PAT), receivables are controlled, and the other-income crutch of FY25 is gone.
- **The ambers are disclosure gaps, not detected problems:** contingent liabilities, auditor history and RPTs are simply not visible on Screener — given the FY17–FY20 stress era, read the FY26 annual report before upsizing.
- **Watch the payables lever:** days payable stretched from 55 to 107 over two years; some of the CCC improvement is supplier-funded and could partially reverse.
- **Tax normalization flattered FY26 EPS:** the tax rate fell from 37% to 23% — roughly a fifth of the EPS growth came from below the PBT line; model 25% going forward.

SECTION 8 — VALUATION

Peer comparison (all data from Screener consolidated pages, fetched 10-Jun-2026; TTM = FY26):

Company	CMP (Rs.)	MCap (Rs. Cr)	P/E	P/B*	ROCE	ROE	TTM Sales	TTM PAT / OPM
Venus Remedies	1,634	2,195	21.4	3.29	21.7%	16.8%	770	103 / 19%
Gufic BioSciences	364	3,655	56.9	5.49	12.3%	10.1%	944	64 / 16%
Lincoln Pharma	633	1,268	14.4	1.67	16.3%	12.3%	671	88 / 15%
Kilitich Drugs	183	641	21.2	2.29	14.4%	12.5%	235	30 / 16%
Themis Medicare	103	948	575	2.38	2.74%	0.41%	342	1 / 0%

*P/B derived as Screener CMP / Screener Book Value per share. Sales/PAT in Rs. Cr.

Scenario analysis (12-month):

Scenario	Key Assumptions	FY28E PAT	Multiple	Target	vs CMP
Bull	Sales +18%/yr; OPM 21%; AMR pipeline milestones land; FII/DII accumulation continues	Rs. 150 Cr	22x	Rs. 2,465	+51%
Base	Sales +15%/yr; OPM 19.5–20%; tax 25%; approvals flywheel monetizes steadily	Rs. 140 Cr	18x	Rs. 1,800	+10%
Bear	OPM mean-reverts to 14%; sales +8%; tender pricing pressure; Q4 proves seasonal peak	Rs. 80 Cr	14x	Rs. 800	-51%

- **DCF:** WACC 12.5%, terminal growth 4.0%, normalized FY26 FCF base of Rs. 110 Cr growing 15% for five years → PV of cash flows + terminal value about Rs. 2,090 Cr, plus net cash of about Rs. 226 Cr = equity value about Rs. 2,316 Cr → **about Rs. 1,730/share**.
- **Earnings multiple:** 18x FY28E EPS of Rs. 105 = **Rs. 1,890/share**. 18x is a premium to Lincoln (14x, slower growth, lower ROCE) and a steep discount to Gufic (57x), justified by 22% ROCE, net cash and 57% 3-year profit CAGR.
- **Target:** average of the two methods gives about Rs. 1,810; we set the **12-month target at Rs. 1,800 (+10.2% from CMP Rs. 1,634)**, horizon 12–18 months.
- **Valuation context:** at 21.4x trailing the stock is no longer cheap after a 257% 1-year move (3-year price CAGR 93%); the margin-of-safety now rests entirely on margin sustainability — hence ACCUMULATE on dips rather than an aggressive BUY.

SECTION 9 — KEY RISKS

- **Margin mean-reversion** — OPM averaged 10–11% for five years before FY26's 19%; if mix/PLI effects fade, earnings power halves. Probability: M. Impact: H. Monitor via: quarterly OPM staying above 17%.
- **Generic antibiotic commoditization** — meropenem and other injectables face tender-driven price erosion and API cost swings. Probability: M. Impact: M-H. Monitor via: gross-margin trend and tender win pricing.
- **Pipeline execution** — VRP-034 and the AMR portfolio carry clinical/regulatory risk; novel AMR drugs have a globally weak commercial track record. Probability: M. Impact: M. Monitor via: trial/regulatory milestone announcements.
- **GMP / regulatory compliance** — a plant-level GMP failure would cascade across 1,040+ authorizations in 70+ markets. Probability: L-M. Impact: H. Monitor via: inspection outcomes, import alerts.
- **Governance concentration** — family-run; CMD also listed as CFO; FY17–FY20 stress history; promoter stake only 41.76%. Probability: L. Impact: M. Monitor via: pledge creation, board/auditor changes, RPT disclosures in the AR.
- **Momentum/valuation risk** — stock is up 257% in 12 months and sits 6% below its all-time high of Rs. 1,737; any earnings miss meets a crowded register (public holding 54%). Probability: M. Impact: H.

Monitor via: post-results price action, delivery volumes.

- **Quarterly lumpiness** — institutional/tender revenue makes June quarters seasonally weak (Rs. 95 / 109 / 137 Cr in FY24–26); a soft Q1 FY27 print may be misread as thesis failure. Probability: H. Impact: L-M. Monitor via: YoY (not QoQ) comparisons.

SECTION 10 — RECOMMENDATION

- **Rating: ACCUMULATE** — conviction Medium. The turnaround is real and cash-backed, but the entry price already pays for much of it.
- **12-month price target: Rs. 1,800** (+10.2% from CMP Rs. 1,634); bull case Rs. 2,465, bear case Rs. 800.
- **Suggested entry zone: Rs. 1,450–1,620** — add on post-result or seasonal (Q1) weakness rather than chasing the all-time-high zone.
- **Investment horizon:** 12–18 months, with the FY27 margin trajectory as the decisive variable.
- **Thesis invalidation triggers:** (1) OPM below 14% for two consecutive quarters; (2) cash conversion deterioration — debtor days above 80 or CCC back above 120 sustained; (3) any promoter pledge creation, auditor resignation, or loss of a major GMP certification/market authorization.
- **Ideal investor profile:** suited to risk-tolerant small/mid-cap growth investors who can underwrite quarterly lumpiness and single-plant regulatory risk; NOT suited to income investors or low-volatility mandates — one proposed dividend does not make an income stock, and the register is still 54% public/retail.

APPENDIX — Latest Concall Brief: Q4 FY26

Transcript status: Venus Remedies does not publish earnings-call transcripts (none on Screener, Trendlyne or AlphaStreet as of 10-Jun-2026). This appendix is built from the audited Q4/FY26 results (board meeting 26-May-2026) and Screener quarterly financials. Transcript-dependent sections (3, 4-tone, 5-attribution, 8) show N/A.

RESULT GRADE — Q4 FY26 (results dated 26-May-2026)

POSITIVE

Signal	Status	Implication
Result quality	Strong	Record quarter — revenue +33% YoY, OPM 24%, PAT roughly +126-129% YoY; no street consensus exists for this small-cap, but it beat any reasonable trend extrapolation.
Management tone	N/A	No earnings call held / no transcript available — tone cannot be assessed.
Guidance delta	N/A	No quantitative guidance published; 'Mission 2026' qualitative roadmap reiterated via press communication.

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

The Q4 FY26 headline — PAT of Rs. 48 Cr, up roughly 126% YoY — is clean, not cosmetic: revenue grew 33% to Rs. 259 Cr, OPM printed 24%, and there is no exceptional item or other-income crutch behind it (other income was just Rs. 5 Cr of Rs. 62 Cr PBT). For the full year, EBITDA more than doubled to Rs. 147 Cr on +20% sales, OPM stepped from 10% to 19% with each quarter sequentially stronger, and OCF of Rs. 156 Cr actually exceeded PAT — the cash backs the accounting. The structural story is a debt-free, 22% ROCE injectables platform with 1,040+ export authorizations compounding into revenue, a deliberate shift toward oncology and patented AMR assets, and PLI money flowing in. The near-term catalyst is simple: the Q1/Q2 FY27 prints holding OPM above the high-teens, plus newsflow on VRP-034 and fresh market authorizations. The watch-point is equally simple: June quarters are seasonally soft (Rs. 137 Cr last year), so do not let a weak QoQ optic shake the position — and remember a fifth of the FY26 EPS jump came from tax normalizing to 23%. The first dividend in a decade (Rs. 10/share) plus FII+DII creeping to 4% tells me the register is institutionalizing from a very low base. ACCUMULATE: add in the Rs. 1,450–1,620 zone, target Rs. 1,800 on a 12-month view; I would EXIT below Rs. 1,150 only if OPM breaks 14% for two straight quarters, because that kills the entire re-rating math.

1 — Financial Performance Snapshot (Q4 FY26, Screener consolidated)

- **Revenue:** Actual Rs. 259 Cr | YoY +33% | QoQ +44% | **Beat** (vs trend; no street consensus published)
- **EBITDA (Operating Profit):** Actual Rs. 63 Cr | YoY +117% | QoQ +66% | **Beat**
- **EBITDA Margin:** 24% | YoY +900 bps | QoQ +300 bps | **Beat**
- **PAT:** Actual Rs. 48 Cr | YoY +129% | QoQ +85% | **Beat**
- **EPS:** Rs. 35.54 | YoY +126% (Rs. 15.71) | QoQ +86% (Rs. 19.14) | **Beat**
- **NOTE:** no exceptional items visible in the quarter; tax rate 23% (vs 32% in Q4 FY25) provided a modest below-the-line assist.

2 — Segment / Geography Breakdown

- **N/A** — the company does not publish quarterly segment or geography revenue splits, and no transcript exists; qualitative direction: export approvals (ASEAN, MEA, LatAm) and oncology mix are the stated growth vectors.

3 — Management Commentary Themes

- N/A — no earnings call / transcript. Press communication themes (company releases): 'Mission 2026' AMR innovation roadmap, first-dividend signal of balance-sheet confidence, and continued global marketing-authorization wins. Tag: EST (not from a verifiable transcript).

4 — Operating & Business Metrics

- **Global marketing authorizations:** 1,040+ (cumulative) | Vietnam 29 active | Trend: improving — new FY26 approvals in Indonesia, UAE, Costa Rica, Philippines, Gabon.
- **Patents:** 135+ granted (cumulative) | Trend: stable-to-improving; DSIR R&D; recognition renewed (Jun-2026).
- **Quarterly revenue run-rate:** Q4 FY26 Rs. 259 Cr | Q3 Rs. 180 Cr | Q4 FY25 Rs. 195 Cr | Trend: improving.
- **PLI:** secured 75% of eligible FY24-25 incentive | Trend: stable.

5 — Margin Drivers

- **Product mix shift (oncology + patented AMR):** positive, recurring: Yes (EST) — the stated strategic driver of the 10% to 19% FY26 OPM step-up.
- **Operating leverage:** positive, recurring: Partly — fixed-cost absorption on +20% sales; reverses on weak quarters (Q1 seasonality).
- **PLI incentives:** positive, recurring: Policy-dependent — scheme-linked, not a permanent margin layer.
- **Tax normalization (37% to 23%):** below-EBITDA assist, recurring: Yes at ~25% (E) — do not extrapolate 23% indefinitely.

6 — Guidance & Forward Signals

- N/A — no quantitative guidance is published. Only signal: first dividend (Rs. 10/share) proposed, which functions as a confidence marker | Credibility: Medium (one observation, not a policy).

7 — Capital Allocation (FY26)

- **Capex + investments (CFI):** Rs. 182 Cr outflow | vs FY25 Rs. 77 Cr | mostly investment-book build-up (investments line Rs. 84 to Rs. 238 Cr); CWIP up Rs. 26 to Rs. 51 Cr.
- **Dividend:** Rs. 10/share final proposed (~Rs. 13 Cr, 13% payout) | first since at least FY15.
- **Buyback:** none | **Net debt:** borrowings Rs. 12 Cr vs Rs. 238 Cr investments — net cash about Rs. 226 Cr.
- **Working capital:** CCC improved 72 to 64 days; days payable stretched to 107 (watch).

8 — Q&A; Heat Map

- N/A — no earnings call held / no transcript available.
- **Watch-list questions for next quarter (ours):** How much of the 24% Q4 OPM is mix vs tender timing? What is the FY27 capex plan and the intended use of the Rs. 238 Cr investment book? Will the company institute a formal dividend policy? Status and spend plan for VRP-034 trials?

9 — Risks Flagged

- **Margin sustainability:** 5 prior years at 10-11% OPM | Flagged by: analyst (us) | Probability: M | Impact: H | Timeline: near-term (next 2 quarters).
- **Q1 seasonality optics:** June quarters historically weakest | Flagged by: analyst | Probability: H | Impact: L-M | Timeline: near-term.

• **Disclosure depth:** no concalls, no segmental data, no guidance — small-cap information risk | Flagged by: analyst | Probability: H | Impact: M | Timeline: structural.

10 — Analyst Verdict

- **Revenue visibility:** Intact — approvals flywheel and 20% FY26 growth, though tender lumpiness caps confidence.
- **Margin trajectory:** Intact — four sequentially stronger quarters (11/16/21/24%), but unproven through a full seasonal cycle.
- **Capital allocation quality:** Intact — deleveraged to net cash, first dividend, R&D-led; reinvestment.
- **Competitive moat:** Intact — patents and authorizations deepen; commodity-generic exposure remains the soft flank.
- **Management credibility:** Cannot assess — no concall/guidance track record to score against; results delivery itself has been strong.
- **Valuation comfort:** Weakened — 21.4x trailing after a 257% 1-year run leaves little room for a stumble.
- **Conviction call:** Increased — FY26 confirmed the turnaround thesis with cash-backed earnings.
- **Valuation snapshot:** P/E = 21.4x (vs single-digit through the loss-era — 5Y avg not meaningful) | P/B = 3.29x | ROCE = 21.7% (5Y trend: 2% to 22%).

Disclosures: Prepared by MPM Institutional Research for internal use. All historical financial data transcribed from Screener.in (consolidated) on 10-Jun-2026; estimates (E) are analyst projections grounded in those actuals. This is not investment advice. The analyst holds no position in VENUSREM.